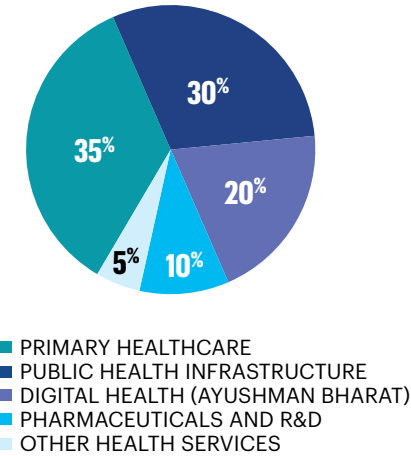


PRIMARY FOCUS

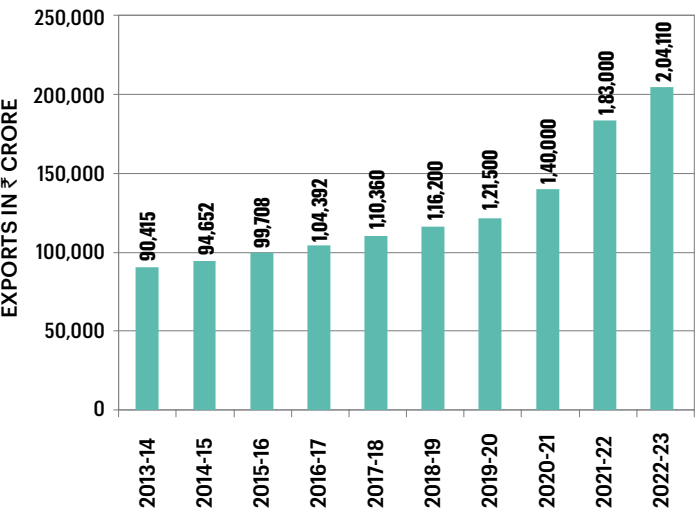
- The government is expected to continue focus on primary healthcare
- Public infra is expected to come second in terms of allocation



SOURCE INDUSTRY ESTIMATES

EXPORT PUSH

- India’s pharma exports have grown substantially. From around ₹90,000 crore in FY14, it rose to ₹2 lakh crore in FY23



SOURCE MINISTRY OF HEALTH & FAMILY WELFARE

lutions,” says Arup Mitra, Professor of Economics at South Asian University in New Delhi.

This requires a complete overhaul of infrastructure and professional services, Mitra adds. “Reducing OOPe for low-income households must become a top priority,” he says.

DRIVING INNOVATION AND R&D

India’s pharmaceuticals and medical technology sectors have shown resilience and growth, yet there is significant potential for further innovation. In 2024, the med-tech sector continued to expand rapidly, but investment in research and development (R&D) has remained significantly below global benchmarks.

According to the Association of Indian Medical Device Industry (AiMed), India’s med-tech sector spends less than 1% of its revenue on R&D, a stark contrast to the global average of 5-6%. Despite this, exports grew by 15% in 2024, according to the Ministry of Commerce.

Experts say the upcoming Budget should provide incentives for increasing R&D expenditure, particularly for emerging technologies like artificial intelligence (AI)-driven diagnostics and telemedicine. They say dedicated funds for med-tech innovation and clinical trials could position India as a global hub for medical devices and pharmaceuticals.

According to a report by consultancy firm EY India, the med-tech sector in India is projected to reach

a market size of \$50 billion by 2030, from an estimated \$12 billion in 2024. However, despite this rapid growth, investment in R&D within the sector remains significantly below global standards. For example, in 2017, global med-tech leader Roche allocated 11.2% of its revenue to R&D. No Indian med-tech company is spending as much on R&D.

POLICY PRESCRIPTIONS

A pressing challenge for the healthcare and med-tech sectors is the high GST on some medical devices and diagnostic equipment. Essential automated analysers and sanitisers attract GST rates of 18%, making them prohibitively expensive for many healthcare providers and patients, particularly in rural areas.